Outlook

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The PD field needs an outcomes check, not a colour chart

Hi,

This came up in a working session and nobody had the same definition.

Loan files contain origination PD, LGD and ECL fields, but the bank needs to know whether risk ordering survives into later repayment behaviour.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: missing or defaulted inputs create artificial separation; higher PD bands show more arrears; or product and vintage explain more than the score.

There is no confirmed problem yet; this is a request to test an assumption before it becomes policy. We looked at a version of this before. For the December 2020 review, please show what changed and whether the earlier conclusion still holds.

What we need to decide is whether recalibration, segmentation or data remediation is the next step. Please bring a one-page finding note plus the underlying CSV for our own review, including a few cases we can trace from source to conclusion.

The available evidence is the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The data supports discrimination and outcome analysis, not a complete IFRS 9 validation without default definitions, macro scenarios and accounting policy.

Thank you